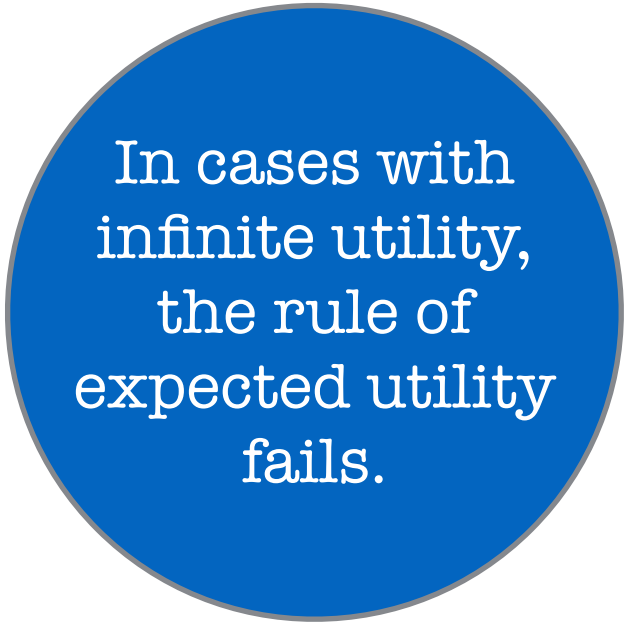


Consider the following bet:

The St. Petersburg

I am going to flip a fair coin until it comes up heads. If the first time it comes up heads is on the 1st toss, I will give you \$2. If the first time it comes up heads is on the second toss, I will give you \$4. If the first time it comes up heads is on the 3rd toss, I will give you \$8. And in general, if the first time the coin comes up heads is on the n th toss, I will give you $\$2^n$.



In cases with
infinite utility,
the rule of
expected utility
fails.



The St. Petersburg

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